

PRIVATE CREDIT BOOM

DESPITE GLOBAL HEADWINDS, SEVERAL ASSET MANAGERS HAVE ANNOUNCED PRIVATE CREDIT FUND LAUNCHES IN INDIA, LOOKING TO CASH IN ON GROWING CORPORATE DEMAND

BY NACHIKET KELKAR

CAPITAL MARKETS the world over are facing extreme volatility after the US-Israel alliance attacked Iran. Fresh fundraising has slowed. Banks remain cautious, keeping an eye on asset quality, even as they look to boost credit growth. All of this appears to have created ideal conditions for growth of private

credit in India.

Private credit, or performing credit as some call it, is an instrument where a non-bank lender raises capital—from institutions like insurance companies, family offices, sovereign wealth funds, high networth individuals (HNIs) and ultra HNIs—that is then loaned to companies, often small and

medium enterprises, at higher rates than those in the formal banking sector.

Sample this: In February, Kotak Alternate Asset Managers announced the first close of the Kotak Yield & Growth Fund, a category II Alternate Investment Fund (AIF) with a target of ₹5,000 crore. The first close of ₹3,900 crore was the largest private credit fundraise in India.

At the end of that month, the alternative investment arm of Motilal Oswal Financial Services marked the first close of its maiden private credit fund at ₹1,700 crore. The India Credit Excellence Fund is targeting a corpus of ₹3,000 crore.

More recently, Avendus secured commitments of ₹2,200 crore for its Avendus Structured Credit Fund III. The target corpus is ₹4,000 crore, a four-fold increase over Fund II, which was ₹1,000 crore.

Elsewhere, International Finance Corp (IFC), a member of the World Bank Group, has signed an agreement to invest in HDFC Asset Management Company's Structured Credit Fund-I, a category II AIF, to expand private credit to India's mid-corporates. The fund got commitments of about ₹1,290 crore out of the targeted corpus of ₹1,500 crore. As an anchor investor, IFC would contribute ₹220 crore.

Despite this growth spurt, India's private credit market is quite small. The global private credit market is pegged at \$3.5 trillion, according to The Alternative Investment Management Association (AIMA). In contrast, \$12.4 billion was invested in private credit in India last